

Meridian Digital Holdings — Model Assumptions & Key Inputs

Green = analyst inputs | Yellow = derived

Revenue & Growth Assumptions

	FY2022A	FY2023A	FY2024A
Total Revenue (\$B)	\$198.3	\$211.9	\$245.1
YoY Revenue Growth	16.2%	6.8%	15.6%
Intelligent Cloud (\$B)	\$75.3	\$87.9	\$105.4
Azure Revenue (\$B)	\$40.0	\$52.0	\$65.0
Azure Growth Rate	35.0%	30.0%	25.0%
Productivity & Business (\$B)	\$63.4	\$69.3	\$77.4
Personal Computing (\$B)	\$59.6	\$54.7	\$62.3
AI Revenue (memo, incl. above)	\$2.0	\$5.1	\$20.5

Margin, Cost & Capex Assumptions

	FY2022A	FY2023A	FY2024A
Gross Margin	68.4%	68.9%	69.4%
R&D as % of Revenue (incl. D&A, SBC)	12.4%	12.8%	12.5%
SG&A as % of Revenue (incl. D&A, SBC)	15.5%	14.8%	13.5%
EBIT Margin (derived)	40.5%	41.3%	43.4%
D&A (memo, within opex above)	6.0%	6.2%	6.5%
SBC (memo, within opex above)	4.8%	5.0%	5.1%
Effective Tax Rate	13.1%	19.6%	19.2%
Capex as % of Revenue	11.2%	12.4%	14.3%
Capex (\$B)	\$22.2	\$26.3	\$35.0
Change in Working Capital (\$B)	\$1.2	-\$0.5	\$2.1
FCFF Margin (derived)	34.2%	32.2%	31.5%

DCF Valuation Inputs

Risk-Free Rate (10Y UST)	4.3%
Equity Risk Premium	5.0%
Beta (5Y Monthly, Adjusted)	0.88
Cost of Equity (CAPM)	8.70%
Pre-Tax Cost of Debt	3.5%
Debt / Total Capital	5.0%
WACC	8.50%
Terminal Growth Rate — Base	3.0%
Terminal Growth Rate — Bull	3.5%
Terminal Growth Rate — Bear	2.5%
Normalized Terminal Capex/Rev	13.0%

Current Shares Outstanding (B)	7.02
Net Cash (\$B)	\$48.0
Current Share Price	\$460

Note: Cost lines (COGS, R&D, SGA) include D&A and SBC. D&A/SBC shown as memo items and added back in the FCF bridge. Capex peaks FY2025-26 (AI buildout) then normalizes.

FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
\$280.0	\$318.0	\$354.0	\$392.0	\$427.3
14.3%	13.6%	11.3%	10.7%	9.0%
\$143.0	\$167.3	\$190.0	\$214.0	\$233.3
\$80.0	\$97.6	\$114.2	\$131.3	\$148.4
23.0%	22.0%	17.0%	15.0%	13.0%
\$73.0	\$80.3	\$88.3	\$96.2	\$104.3
\$64.0	\$70.4	\$75.7	\$81.8	\$89.7
\$34.0	\$48.0	\$63.0	\$82.0	\$100.0

FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
69.8%	70.0%	70.5%	71.0%	71.2%
12.5%	12.4%	12.2%	11.8%	11.5%
12.7%	11.9%	11.4%	11.0%	10.7%
44.6%	45.7%	46.9%	48.2%	49.0%
6.8%	7.2%	7.5%	7.8%	7.5%
5.3%	5.2%	5.0%	4.8%	4.6%
21.8%	22.0%	22.0%	22.0%	22.0%
19.6%	20.1%	19.2%	17.9%	15.5%
\$54.9	\$63.9	\$68.0	\$70.2	\$66.2
\$1.8	\$2.0	\$1.5	\$1.5	\$1.2
26.7%	27.3%	29.5%	31.9%	34.5%

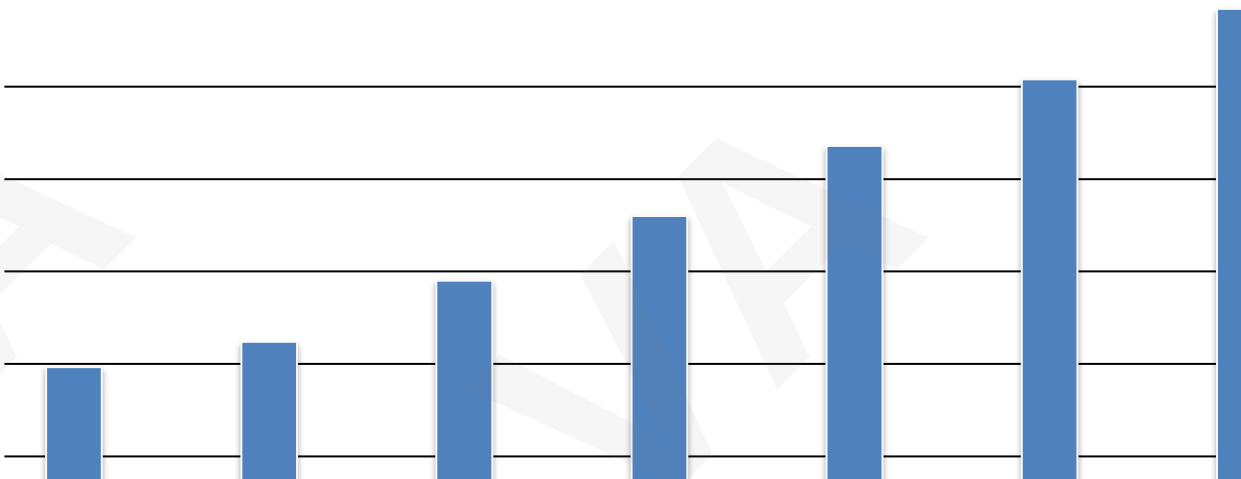
FY2030E
\$460.7
7.8%
\$252.4
\$163.2
10.0%
\$111.6
\$96.7
\$118.0

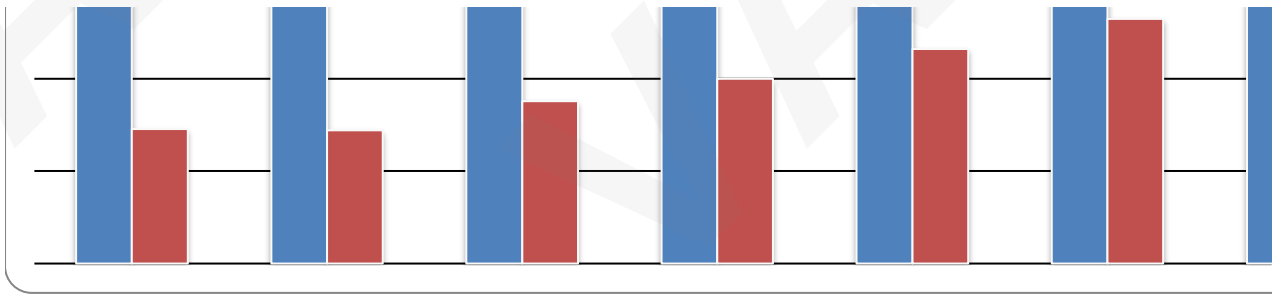
FY2030E
71.5%
11.2%
10.5%
49.8%
7.0%
4.4%
22.0%
13.5%
\$62.2
\$1.0
36.5%

Meridian Digital Holdings — Income Statement (\$B)

	FY2022A	FY2023A	FY2024A
Revenue	\$198.3	\$211.9	\$245.1
YoY Growth	16.2%	6.8%	15.6%
Cost of Revenue	-\$62.7	-\$65.9	-\$75.0
Gross Profit	\$135.6	\$146.0	\$170.1
Gross Margin	68.4%	68.9%	69.4%
Research & Development	-\$24.6	-\$27.1	-\$30.6
Sales, General & Admin	-\$30.7	-\$31.4	-\$33.1
Operating Income (EBIT)	\$80.3	\$87.5	\$106.4
EBIT Margin	40.5%	41.3%	43.4%
Memo: D&A (within opex)	\$11.9	\$13.1	\$15.9
Memo: SBC (within opex)	\$9.5	\$10.6	\$12.5
Interest & Other Income	\$3.4	\$2.1	\$2.4
Pre-Tax Income (EBT)	\$83.7	\$89.6	\$108.8
Income Tax Provision	-\$11.0	-\$17.6	-\$20.9
Effective Tax Rate	13.1%	19.6%	19.2%
Net Income	\$72.7	\$72.0	\$87.9
Net Margin	36.7%	34.0%	35.9%
Diluted Shares (B)	7.54	7.37	7.29
Diluted EPS	\$9.64	\$9.77	\$12.06

Revenue vs Net Income (\$B)





FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
\$280.0	\$318.0	\$354.0	\$392.0	\$427.3
14.3%	13.6%	11.3%	10.7%	9.0%

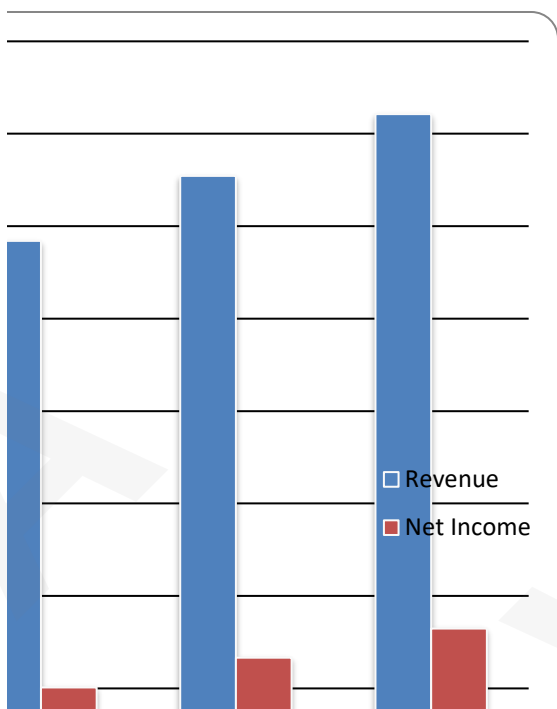
-\$84.6	-\$95.4	-\$104.4	-\$113.7	-\$123.1
\$195.4	\$222.6	\$249.6	\$278.3	\$304.2
69.8%	70.0%	70.5%	71.0%	71.2%

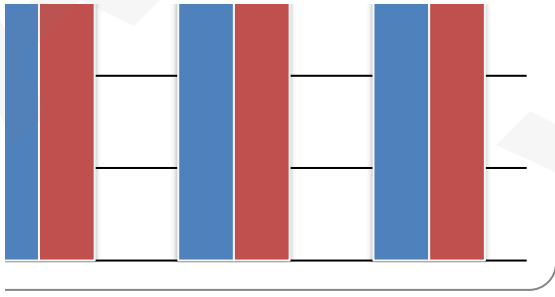
-\$35.0	-\$39.4	-\$43.2	-\$46.3	-\$49.1
-\$35.6	-\$37.8	-\$40.4	-\$43.1	-\$45.7
\$124.8	\$145.4	\$166.0	\$188.9	\$209.4
44.6%	45.7%	46.9%	48.2%	49.0%

\$19.0	\$22.9	\$26.6	\$30.6	\$32.0
\$14.8	\$16.5	\$17.7	\$18.8	\$19.7

\$3.0	\$3.5	\$3.8	\$4.0	\$4.2
\$127.8	\$148.9	\$169.8	\$192.9	\$213.6
-\$27.9	-\$32.8	-\$37.4	-\$42.4	-\$47.0
21.8%	22.0%	22.0%	22.0%	22.0%
\$99.9	\$116.1	\$132.4	\$150.5	\$166.6
35.7%	36.5%	37.4%	38.4%	39.0%

7.02	6.95	6.88	6.82	6.76
\$14.23	\$16.71	\$19.24	\$22.07	\$24.64





FY2030E
\$460.7
7.8%

-\$131.3
\$329.4
71.5%

-\$51.6
-\$48.4
\$229.4
49.8%

\$32.2
\$20.3

\$4.5
\$233.9
-\$51.5
22.0%
\$182.4
39.6%

6.70
\$27.22

Meridian Digital Holdings — Discounted Cash Flow Model

$FCFF = NOPAT + D\&A + SBC - Capex - \Delta WC$ (D&A/SBC added back: non-cash charges within opex)

	FY2022A	FY2023A	FY2024A
Revenue	\$198.3	\$211.9	\$245.1
Revenue Growth	16.2%	6.8%	15.6%
EBIT (Operating Income)	\$80.3	\$87.5	\$106.4
EBIT Margin	40.5%	41.3%	43.4%
(-) Taxes on EBIT @ effective rate	-\$10.5	-\$17.2	-\$20.4
NOPAT	\$69.8	\$70.4	\$86.0
(+) Depreciation & Amortization	\$11.9	\$13.1	\$15.9
(+) Stock-Based Compensation	\$9.5	\$10.6	\$12.5
(-) Capital Expenditures	-\$22.2	-\$26.3	-\$35.0
Capex as % Revenue	11.2%	12.4%	14.3%
(-) Change in Working Capital	-\$1.2	\$0.5	-\$2.1
Free Cash Flow to Firm (FCFF)	\$67.8	\$68.3	\$77.3
FCFF Margin	34.2%	32.2%	31.5%

Discount Factors (WACC = 8.5%)

Year from valuation date

Discount Factor

PV of FCFF (\$B)

Sum of PV of Projected FCFs (\$B)

Terminal Value & Equity Value — Three Scenarios

Normalized terminal capex/revenue = 13% (vs ~20% during AI capex peak)

	Base Case	Bull Case	Bear Case
Terminal Year FCFF (\$B, normalized)	\$170.5	\$178.5	\$158.5
Terminal Growth Rate	3.0%	3.5%	2.5%
WACC	8.50%	8.50%	8.50%
Spread (WACC – g)	5.5%	5.0%	6.0%
Terminal Value = FCFF×(1+g)/(WACC–g)	\$3,193.0	\$3,694.9	\$2,707.7
PV of Projected FCFs (\$B)	\$515.8	\$515.8	\$515.8
PV of Terminal Value (\$B)	\$1,957.1	\$2,264.8	\$1,659.7
Enterprise Value (\$B)	\$2,472.9	\$2,780.6	\$2,175.5
(+) Net Cash (\$B)	\$48.0	\$48.0	\$48.0
Equity Value (\$B)	\$2,520.9	\$2,828.6	\$2,223.5
÷ Shares Outstanding (B)	7.02	7.02	7.02
Intrinsic Value Per Share	\$359	\$403	\$317
Current Share Price	\$460	\$460	\$460
Upside / (Downside)	-21.9%	-12.4%	-31.1%

Probability-Weighted Valuation — Fully Reconciled

Scenario	Probability	Intrinsic Value	Weighted Value
Bull Case	25.0%	\$403	\$100.8
Base Case	60.0%	\$359	\$215.4
Bear Case	15.0%	\$317	\$47.5
Expected Value (sum of weighted values)	100.0%		\$363.7
vs. Current Price (\$460)			-20.9%

Interpretation: DCF suggests the stock is priced above conservative intrinsic value.
To justify \$460, the market is pricing in either faster growth, lower WACC, or higher terminal margins.
See Sensitivity Analysis tab for implied price under different assumption combinations.

FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
\$280.0	\$318.0	\$354.0	\$392.0	\$427.3
14.3%	13.6%	11.3%	10.7%	9.0%

\$124.8	\$145.4	\$166.0	\$188.9	\$209.4
44.6%	45.7%	46.9%	48.2%	49.0%
-\$27.2	-\$32.0	-\$36.5	-\$41.6	-\$46.1
\$97.6	\$113.4	\$129.5	\$147.3	\$163.3

\$19.0	\$22.9	\$26.6	\$30.6	\$32.0
\$14.8	\$16.5	\$17.7	\$18.8	\$19.7
-\$54.9	-\$63.9	-\$68.0	-\$70.2	-\$66.2
19.6%	20.1%	19.2%	17.9%	15.5%
-\$1.8	-\$2.0	-\$1.5	-\$1.5	-\$1.2

\$74.7	\$86.9	\$104.3	\$125.0	\$147.6
26.7%	27.3%	29.5%	31.9%	34.5%

1	2	3	4	5
0.9217	0.8495	0.7829	0.7216	0.6650
\$68.8	\$73.8	\$81.7	\$90.2	\$98.2

\$515.8

Verification

$\$403 \times 25.0\% = \100.8

$\$359 \times 60.0\% = \215.4

$\$317 \times 15.0\% = \47.5

$\$215.4 + \$47.5 = \$363.7$

FY2030E
\$460.7
7.8%

\$229.4
49.8%
-\$50.5
\$178.9

\$32.2
\$20.3
-\$62.2
13.5%
-\$1.0

\$168.2
36.5%

6
0.6129
\$103.1

Meridian Digital Holdings — Sensitivity Analysis

Table 1: Implied Share Price (\$) — WACC vs. Terminal Growth Rate

WACC \ Term. Growth →	2.0%	2.5%	3.0%
7.0%	\$414	\$453	\$501
7.5%	\$375	\$406	\$443
8.0%	\$342	\$367	\$397
8.5%	\$314	\$335	\$359
9.0%	\$290	\$307	\$328
9.5%	\$269	\$284	\$301
10.0%	\$251	\$264	\$278

Blue = base case | Green = above \$460 | Red = below \$460

Table 2: Implied Share Price (\$) — WACC vs. Normalized Terminal Capex/Revenue

WACC \ Capex/Rev →	9%	11%	13%
7.0%	\$546	\$523	\$501
7.5%	\$482	\$463	\$443
8.0%	\$431	\$414	\$397
8.5%	\$389	\$374	\$359
9.0%	\$354	\$341	\$328
9.5%	\$325	\$313	\$301
10.0%	\$300	\$289	\$278

13% = base normalized capex (vs ~20% during AI buildout)

Table 3: FY2030E EPS — Revenue CAGR (FY24-30) vs. EBIT Margin

Rev CAGR \ EBIT Margin →	38%	41%	44%
6.0%	\$15.90	\$17.12	\$18.33
8.0%	\$17.73	\$19.09	\$20.45
11.0%	\$20.80	\$22.41	\$24.01
12.0%	\$21.93	\$23.62	\$25.31
14.0%	\$24.32	\$26.20	\$28.08

Base: ~11% CAGR, ~44% EBIT margin by FY2030

Table 4: Implied WACC to Justify \$460 at Various Terminal Growth Rates

Terminal Growth Rate	Implied WACC	Feasibility
2.5%	6.93%	Below cost of equity
3.0%	7.34%	Aggressive
3.5%	7.75%	Plausible
4.0%	8.16%	Plausible

This table shows what discount rate the market is implicitly using at \$460.

3.5%	4.0%
\$563	\$645
\$490	\$551
\$434	\$480
\$388	\$424
\$352	\$380
\$321	\$344
\$295	\$314

3

15%	17%
\$479	\$456
\$424	\$404
\$380	\$363
\$344	\$329
\$314	\$301
\$289	\$277
\$267	\$257

47%	50%
\$19.55	\$20.76
\$21.81	\$23.16
\$25.61	\$27.21
\$26.99	\$28.68
\$29.96	\$31.84

Meridian Digital Holdings — Segment Revenue (\$B)

	FY2022A	FY2023A	FY2024A
Intelligent Cloud	\$75.3	\$87.9	\$105.4
Azure	\$40.0	\$52.0	\$65.0
Azure Growth	35.0%	30.0%	25.0%
Server & Enterprise	\$35.3	\$35.9	\$40.4
Productivity & Business	\$63.4	\$69.3	\$77.4
Office 365	\$38.0	\$42.0	\$48.0
LinkedIn	\$13.8	\$15.1	\$16.4
Dynamics 365	\$11.6	\$12.2	\$13.0
Personal Computing	\$59.6	\$54.7	\$62.3
Windows	\$24.8	\$22.3	\$23.0
Gaming	\$16.2	\$15.5	\$22.3
Search & Ads	\$11.6	\$12.2	\$12.0
Surface	\$7.0	\$4.7	\$5.0
Total Revenue	\$198.3	\$211.9	\$245.1

FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
\$143.0	\$167.3	\$190.0	\$214.0	\$233.3
\$80.0	\$97.6	\$114.2	\$131.3	\$148.4
23.0%	22.0%	17.0%	15.0%	13.0%
\$63.0	\$69.7	\$75.8	\$82.7	\$84.9

\$73.0	\$80.3	\$88.3	\$96.2	\$104.3
\$44.0	\$48.4	\$53.2	\$57.5	\$62.1
\$16.0	\$18.5	\$21.0	\$23.8	\$26.2
\$13.0	\$13.4	\$14.1	\$14.9	\$16.0

\$64.0	\$70.4	\$75.7	\$81.8	\$89.7
\$23.5	\$24.0	\$24.5	\$25.0	\$25.5
\$22.0	\$25.0	\$27.5	\$30.8	\$35.2
\$13.5	\$15.4	\$17.2	\$19.0	\$21.0
\$5.0	\$6.0	\$6.5	\$7.0	\$8.0

\$280.0	\$318.0	\$354.0	\$392.0	\$427.3
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FY2030E	
	\$252.4
	\$163.2
	10.0%
	\$89.2

	\$111.6
	\$66.5
	\$28.0
	\$17.1

	\$96.7
	\$26.0
	\$39.0
	\$23.2
	\$8.5

	\$460.7
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Meridian Digital Holdings — Peer Valuation

Company	Mkt Cap (\$T)	P/E TTM	Fwd P/E	P/S
Meridian Digital Holdings	\$3.4	30x	28x	12.0x
Peer A (Consumer Tech)	\$3.6	33x	31x	9.0x
Peer B (Search & Cloud)	\$2.3	25x	23x	7.0x
Peer C (E-Comm & Cloud)	\$2.1	52x	42x	3.0x
Peer D (Social & AI)	\$1.4	24x	22x	8.0x
Peer Median	\$2.2	28x	27x	8.0x

MDH premium vs median justified by 45% EBIT margin (vs ~30% peers) and AI optionality.
PEG of 2.0x near median — growth-adjusted valuation is reasonable.

EV/EBITDA	Rev Growth	PEG
22.0x	14%	2.0x
25.0x	9%	3.3x
18.0x	13%	1.8x
28.0x	20%	2.1x
16.0x	22%	1.1x
21.5x	17%	2.0x

Meridian Digital Holdings — Risk Assessment

Risk Factor	Category	Prob.	Impact (1-5)
Cloud price war	Competitive	30%	4
AI commoditization	Technology	35%	3
Antitrust (unbundling)	Regulatory	20%	5
Valuation compression	Market	25%	4
Capex ROI miss	Operational	25%	4
AI adoption < modeled	Execution	30%	4
Margin compression	Competitive	20%	3
Talent attrition (AI/ML)	Operational	25%	3
Currency / macro	Economic	40%	2
Cybersecurity incident	Operational	10%	5

Severity	Mitigation
HIGH	Enterprise bundling, AI differentiation
MODERATE	Enterprise compliance/security moat
CRITICAL	Proactive compliance, lobbying
MODERATE	Growth execution, buyback floor
HIGH	Phased investment, flexible capex
HIGH	Conservative base case buffers
MODERATE	Premium integration pricing
MODERATE	Competitive comp, research culture
LOW	Natural hedging, diversification
MODERATE	\$1B+ security spend

Meridian Digital Holdings — Historical Returns

Period	MDH	S&P 500	Alpha (Ann.)
1 Year	+15.0%	+9.8%	+5.2%
3 Years	+75.0%	+42.0%	+8.3%
5 Years	+200.0%	+79.0%	+12.1%
10 Years	+500.0%	+202.0%	+9.8%

Calendar Year Returns

Year	MDH	S&P 500	Alpha
CY2020	+42.4%	+18.3%	+24.1%
CY2021	+52.5%	+26.8%	+25.7%
CY2022	-28.9%	-19.3%	-9.6%
CY2023	+56.8%	+24.2%	+32.6%
CY2024	+12.5%	+8.5%	+4.0%
CY2025	+18.0%	+12.0%	+6.0%

Max Drawdown	
	-8.0%
	-18.0%
	-33.0%
	-33.0%

Key Driver
Cloud acceleration
Enterprise transformation
Rate hike sell-off
AI narrative + rebound
Valuation digestion
AI monetization ramp